

Context: For this policy brief, I am taking on the role of a policy analyst and resident of Mexico City.

Policy Brief: Addressing Gentrification in Central Mexico City

To: Mayor Brugada of Mexico City

From: Julian Jaramillo, Policy Analyst at the Lincoln Institute for Land Policy

Subject: The case for adopting a more holistic approach to curb gentrification in CDMX

Date: December 15th, 2025

Mayor Brugada,

I write to you today about a pressing issue that is affecting thousands of residents in our beautiful city: gentrification. More specifically, transnational gentrification. Local residents are leaving centrally-located neighborhoods in droves because they are no longer able to afford living there since these areas began catering to a wealthier, international consumer. This process is negatively impacting local communities and changing the character of our vibrant city. In my current role as an analyst at the Lincoln Land Institute and a resident of Mexico City myself, I wanted to provide your administration with additional insights about the problem and propose potential solutions that would help support your constituents. Specifically, I wish to outline a short-term rental licensing plan that could help curb the negative effects of displacement while still allowing tourism dollars to enter.

Problem

Several neighborhoods in the center of Mexico City are currently experiencing gentrification by tourists, digital nomads, and expats coming from the Global North. These neighborhoods include Roma Norte, Roma Sur, Condesa, and Hipódromo, and they are being sought after due to their perceived aesthetics and prime location.¹ In these parts of the city, rent rose eightfold between 2000 and 2022,² making it difficult for the local residents to continue living there. As a result, it is estimated that 23,000 households are being displaced every year,³ sometimes moving as far out as the State of Mexico. Although displacement of low-income households is not a new phenomenon in Mexico City, transnational

¹ Navarrete, David, et al. (2025). Gentrificación transnacional y nómadas digitales en la zona central de la Ciudad de México [Transnational gentrification and digital nomads in the central zone of Mexico City]. *EURE*, vol. 51, no. 152, pp. 1-23, <https://doi.org/10.7764/eure.51.152.10>

² Aguilar-Velázquez, Daniel, et al. (2024). Gentrification and Access to Housing in Mexico City during 2000 to 2022. *Proceedings of the National Academy of Sciences - PNAS*, vol. 121, no. 10, e2314455121, <https://doi.org/10.1073/pnas.2314455121>.

³ Rodríguez Mega, Emiliano, et al. (2025). Why Are Protesters in Mexico City Angry at Remote Workers? *New York Times*. <https://www.nytimes.com/2025/07/07/world/americas/mexico-city-protests-rent-prices-tourists.html>

gentrification is leading to the displacement of middle-class households who previously had more economic stability. To make matters worse, the popularization of remote work options in the Global North in response to the COVID-19 pandemic has led to an influx of “digital nomads” who are able to work white-collar jobs that are based in their home countries while living in Mexico City.⁴ This wealth disparity highlights how difficult it is for everyday Mexicans to financially compete with foreigners who have more purchasing power.

Another way that foreigners are gentrifying Mexico City is through touristification. As the 7th best city in the world according to the travel and entertainment media platform Time Out,⁵ Mexico City receives millions of international visitors annually. To expand accommodation options for tourists to the city, then-Mayor Claudia Sheinbaum signed an agreement with AirBnb and UNESCO in 2022 that opened the door to more short term rentals (STRs) to accommodate foreigners.⁶ Today, there are more than 26,000 STR units in Mexico City, 74% of which are concentrated in the central neighborhoods of the city where they make up around 25% of the total housing units.⁷ These short-term rentals decrease the amount of available units in the local housing market which can make it more difficult for local renters looking for a place to live. This phenomenon demonstrates that touristification and gentrification are not merely results of perceived cultural value and land speculation from abroad, but rather consequences of government policies that do not holistically assess their negative externalities.

Assessment of Current Strategy

Earlier this year, tensions reached a boiling point and there were mass protests in Mexico City against transnational gentrification.⁸ Thousands of residents marched on the streets chanting “Gringo, go home!” and “Gentrification is colonization!” as a way to reclaim the city they feel they have lost through touristification and land speculation. In some cases, protestors even got violent. Mexican President Claudia Sheinbaum sympathized with residents’ concerns while condemning violence against foreigners as acts of xenophobia.⁹ In response to these demonstrations, your administration proposed a 14-point plan to slow down gentrification, the main point of which was prohibiting rent increases to exceed inflation.¹⁰

⁴ Aguilar-Velázquez, et al. (2024).

⁵ Beard, Grace. (2025). The 50 best cities in the world in 2025. *Time Out*.

<https://www.timeout.com/things-to-do/best-cities-in-the-world>

⁶ Rodríguez Mega, et al. (2025).

⁷ Díaz, Omar. (2025). Al menos 25% de viviendas en la Hipódromo, Condesa y Roma son tipo Airbnb: expertos; requerimos más regulación, no un mayor impuesto, dicen [At least 25% of housing units in Hipódromo, Condesa and Roma are Airbnb or similar: experts; we require more regulation, not a higher tax, they say]. *El Universal*.

<https://www.eluniversal.com.mx/metropoli/al-menos-25-de-viviendas-en-la-hipodromo-condesa-y-roma-son-tipo-airbnb-expertos-requerimos-mas-regulacion-no-un-mayor-impuesto-dicen/>

⁸ Rodríguez Mega, et al. (2025).

⁹ Ibid.

¹⁰ Mexico Solidarity. (2025). CDMX’s Brugada Has 14 Actions to Fight Gentrification. Mexico Solidarity.

<https://mexicosolidarity.com/cdmxs-brugada-has-14-actions-to-fight-gentrification/>

Other notable points include the creation of a small amount of public housing in central parts of the city, a broad call for STR regulation, and the creation of an office that will provide legal support to tenants facing illegal evictions.¹¹ While these proposed actions are certainly well-intentioned and demonstrate your administration's commitment to ordinary residents, I believe that additional measures might be necessary to holistically address the problem.

Current research suggests that rent control is a great way to prevent displacement of existing residents, but it could lead to long-term housing shortages since developers tend to switch their focus to upscale housing and landlords take their units off the rental market.¹² That process in turn could exacerbate housing affordability and paradoxically lead to more gentrification.¹³ Thus, while rent control could address gentrification in key neighborhoods, its negative externalities could worsen housing affordability at a larger scale.

Current Literature Gaps

Given the emergent nature of transnational gentrification as an issue, the scholarly literature has focused more on exploring the causes and effects of this phenomenon and less so on the effectiveness of possible solutions. The literature *does* compare the different ways that global cities approach this problem but not enough time has passed to address the efficacy of these policies in the long run. One common finding from many of these studies is that while global economic forces make certain areas more desirable for expats, it is local government policies and regulations that allow for gentrification to actually take place. This can be good news for city governments because it means that they actually have power to address an issue that is uniquely multiscalar. As cities continue to enact policies addressing this problem, more follow-up research should be conducted to quantitatively assess the efficacy of these policies by comparing how likely existing households are to be displaced before and after implementation.

Recommendations

I believe that your administration's proposed 14-point plan is a step in the right direction to address the displacement issues related to transnational gentrification in Mexico City. However, to proactively minimize potential negative externalities, I further recommend the following policy measures:

¹¹ Ibid.

¹² Diamond, Rebecca. (2018). What does economic evidence tell us about the effects of rent control? *Brookings Institute*. <https://www.brookings.edu/articles/what-does-economic-evidence-tell-us-about-the-effects-of-rent-control/>

¹³ Ibid.

1. Creation of a short-term rental licensing system

To mitigate the impact that STRs have on the city's housing market, I recommend that your administration consider creating a STR licensing system that caps the number of these rentals that each neighborhood could have. A study should be conducted to determine what the ideal percentage should be for each neighborhood that will balance between resident needs and tourism benefits, but my initial recommendation would be to set the cap between 5% - 8% of the total housing stock for each neighborhood. The pricing structure for these licenses could also be determined on a neighborhood basis, depending on the demand in each particular area. The fees generated from these licenses could go towards the construction of the in-situ public housing that your administration has already proposed.

This proposal is largely modeled off a similar measure that has already been tried in Lisbon, Portugal, where tourists and expats have taken over several neighborhoods. In the Barrio Alto neighborhood, STRs make up around 67% of all housing units, making tourists a majority in the area.¹⁴ The newly adopted measure that is now in place will limit STRs to around 5% of housing units in a given neighborhood, gradually cutting back the number of STRs in oversaturated neighborhoods and opening up housing units for residents.¹⁵

2. Proactive Limit on Medium-Term Rentals

Similar to Mexico City, Barcelona has also imposed rent control on "long-term rentals" (standard leases of at least twelve months) as a way to address gentrification from abroad. In response to this rent control measure, many landlords switched their properties to the less regulated medium-term rental market (defined as leases lasting between one to eleven months) that were not subject to the rent control measures.¹⁶ These rentals are mostly geared towards digital nomads and tourists who want an extended stay in the city. By exploiting the medium-term rental loophole, landlords in Barcelona have reduced the amount of housing available to long-term renters, further complicating the affordability crisis. Learning from Barcelona, my recommendation for Mexico City is to close any medium-term rental loopholes before they even open by explicitly including them in the rent control measure.

3. Stronger Just Cause Eviction Laws for Commercial Tenants

Stronger regulations should not only benefit residential tenants; commercial tenants deserve protections too because they contribute to the cultural and economic vibrancy of each community. As

¹⁴ Parghan, Snigdha. (2025). Lisbon Bans New Holiday Homes in Key Neighborhoods, Halts Licenses Where Rentals Exceed 5% of Housing. *Rental Scale-Up*.
<https://www.rentalscaleup.com/lisbon-imposes-bans-and-new-limits-mabrian-launches-rental-monitoring-tool-and-airbnb-reboots-experiences/>

¹⁵ Ibid.

¹⁶ Pijuan, Sergi. (2025). 'Mid-term rentals': the new haven for investors to keep ahead of housing regulations. EUobserver.
<https://euobserver.com/health-and-society/ar2ed4b648>

people from the Global North begin to dominate central Mexico City, the businesses in that area are beginning to change to cater to a more affluent international audience.¹⁷ Small businesses that cater to locals simply cannot compete. Mexico already has strong protections against no-cause evictions, meaning that landlords can only evict residential or commercial tenants for reasons such as lack of payment, breach of contract, or owner occupancy.¹⁸ However, landlords do not need a reason to refuse to renew a lease, as long as enough advance notice is given.

I recommend that Mexico City adopt a law that would require landlords to pay a high eviction indemnity to commercial tenants in cases where the landlord refuses to renew a lease and the tenant is not at fault. This law is inspired by France's *indemnité d'éviction* (Eviction Indemnity) laws which promote commercial stability and support businesses by making landlords compensate evicted tenants without fault.¹⁹ The idea behind this recommendation is that neighborhood character will be better preserved when the existing businesses have a higher degree of stability. I wish to emphasize that this policy would still allow for landlords to evict commercial tenants once a lease is up as long as the fee is paid, and no indemnity will have to be paid to evict a tenant who is at fault.

Potential Opposition

Opponents to these recommendations might include AirBnB, the real estate lobby, landlords, HOAs, and neoliberals more generally. They might argue that the proposed measures go against the principles of a free market or that they would have negative impacts on the city's tourism industry. Some might also argue that expat spending pumps money into the local economy and that the city should continue to encourage visitors with higher purchasing power and that the Mexican Constitution's right to housing does not mean that people are entitled to live in trendy neighborhoods. These arguments subscribe to ideologies that do not resonate with your party's egalitarian and its people-first platform. Given the rising popularity of the progressive Morena party that you are a part of, I believe that there will still be incredible support for these policies given their prioritization of ordinary people.

Conclusion

It is difficult to address wicked problems when there is still limited data and potential solutions have not yet been fully researched. Thus, it is up to each city to be its own policy pioneer while learning from and adapting policies from other cities that are going through similar issues. If successful, Mexico City could serve as a model for other cities such as Buenos Aires and Medellín on how to combat

¹⁷ Navarrete, (2025).

¹⁸ Larroque, Jose. (2025). Global Corporate Real Estate Guide: Mexico. *Baker McKenzie*.

<https://resourcehub.bakermckenzie.com/en/resources/global-corporate-real-estate-guide/latin-america/mexico/topics/leases>

¹⁹ Divo, Aline. (2023). Overview of retail lease agreements in France. *CMS*.

<https://cms.law/en/int/expert-guides/overview-of-retail-lease-agreements/france>

transnational gentrification in a Latin American context. I believe that my recommended policies will work hand in hand with the actions that your administration is already undertaking to protect longtime residents of Mexico City. Despite the myriad of forces and competing interests that surround this topic, I trust that the solution lies in a local government that prioritizes the needs of the people first.

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<https://www.rentalscaleup.com/lisbon-imposes-bans-and-new-limits-mabrian-launches-rental-monitoring-tool-and-airbnb-reboots-experiences/>
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